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Taiwan Technology

Reuters 2455.TW
Bloomberg 2455 TT

Priced on 25 August 2025
Taiwan Wtd @ 24,277.4

12M hi/lo NT\$175.00/84.30

12M price target NT\$215.00
±% potential +46%

Shares in issue 184.9m
Free float (est.) 81.2%

Market cap US\$895m

3M ADV US\$33.0m

Foreign s'holding 31.0%

Major shareholders

New Labour Pension Fund 7.3%
Vanguard Group 4.0%

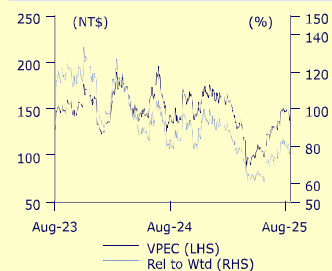
Blended ESG Score (%)*

Overall 54.0
Country average 62.2
GEM sector average 61.4

*Click to visit company page on [clsa.com](https://www.clsa.com) for details

Stock performance (%)

	1M	3M	12M
Absolute	6.7	35.7	5.6
Relative	5.0	23.7	(1.6)
Abs (US\$)	3.6	33.9	10.3



Source: Bloomberg

Stronger demand ahead

Maintain Outperform on structural share gain and optical growth

We see earnings upside from stronger micro-electronics and optical demand in the near term, and structurally, we still like VPEC's solid position to outgrow the overall AI market. Trading at a mid-cycle 23x PE and the stock down 12% YTD, while the Taiex and other AI names hit record highs, we believe VPEC is undervalued. We raise 26CT EPS by 9% and our target PE to an upcycle multiple of 35x (from a mid-cycle 27x) on the stronger micro-electronics and optical outlook. Lift TP from NT\$150 to NT\$215 and reiterate Outperform.

3Q25 preview and 4Q25 outlook

We expect a better sequential revenue pickup into Aug/Sep for VPEC thanks to normalised InP substrate supply since early August, and it is on track to meet our above-consensus sales forecast of +35% QoQ. We now expect further strength from the company into 4Q25, with us forecasting sales to grow 15% QoQ (vs consensus at +5%) on the back of better demand in the micro-electronics and optical segment. Margins recovery is also on track due to a better mix and loading.

Stronger demand orders into 2H25/26

For its micro-electronics business, VPEC has recently seen incremental order raises from its Taiwan foundry partner due to a more favourable competitive landscape with IDMs exiting the Chinese/Korean markets. Longer-term industry consolidation is positive for VPEC given its more dominant position in Greater China. For optical, its PD foundry and CW laser clients are seeing order increases thanks to the stronger AI optical transceiver demand, with its existing Japanese CW laser client's order book set to increase 3x YoY into 2026, and a second client also on track to contribute from 4Q25 due to strong silicon photonics adoption.

Undervalued quality AI name

We see earnings upside from the stronger micro-electronics and optical demand in the near term. And structurally we still like VPEC's solid position to outgrow the overall AI market, benefitting from the ongoing 800G/1.6T optical transceiver spec upgrade trend, as well as rising silicon photonics adoption driving dollar content growth. Trading at a mid-cycle 23x PE and the stock still down 12% YTD with the Taiex and other AI names at record highs, we believe VPEC is undervalued.

Earnings revisions and valuation

We cut 25CT EPS by 11% to reflect the 2Q25 FX losses in non-op but raise 26CT EPS by 9% and our target PE to an upcycle multiple of 35x on a stronger micro-electronics and optical outlook. Lift TP from NT\$150 to NT\$215; maintain O-PF.

Financials

Year to 31 December	22A	23A	24A	25CT	26CT
Revenue (NT\$m)	2,604	2,694	3,241	3,584	4,758
Rev forecast change (%)	-	-	-	1.1	6.5
Net profit (NT\$m)	545	450	671	622	1,134
NP forecast change (%)	-	-	-	(11.5)	9.1
EPS (NT\$)	2.95	2.43	3.63	3.36	6.13
CT/consensus (11) (EPS%)	-	-	-	104	114
EPS growth (% YoY)	(36.3)	(17.3)	49.0	(7.4)	82.4
PE (x)	49.9	60.4	40.5	43.7	24.0
Dividend yield (%)	1.6	1.5	2.2	2.1	3.8
ROE (%)	17.1	14.5	20.8	18.6	31.1
Net debt/equity (%)	1.2	(0.8)	(20.3)	(24.3)	(36.6)

Source: CLST

Change in target price

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Financials at a glance

Year to 31 December	2022A	2023A	2024A	2025CT	(% YoY)	2026CT
Profit & Loss (NT\$m)						
Revenue	2,604	2,694	3,241	3,584	10.6	4,758
Cogs (ex-D&A)	(1,271)	(1,301)	(1,674)	(1,916)		(2,474)
Gross Profit (ex-D&A)	1,332	1,393	1,567	1,668	6.4	2,284
SG&A and other expenses	(509)	(567)	(558)	(541)		(600)
Op Ebitda	823	826	1,009	1,127	11.6	1,684
Depreciation/amortisation	(243)	(284)	(288)	(290)		(295)
Op Ebit	580	542	721	836	15.9	1,389
Net interest inc/(exp)	(2)	2	14	7	(45.3)	0
Other non-Op items	90	(3)	83	(87)		0
Profit before tax	667	542	818	756	(7.5)	1,389
Taxation	(123)	(91)	(147)	(134)		(255)
Profit after tax	545	450	671	622	(7.4)	1,134
Minority interest	0	0	0	0		0
Net profit	545	450	671	622	(7.4)	1,134
Adjusted profit	545	450	671	622	(7.4)	1,134
Cashflow (NT\$m)						
Operating profit	580	542	721	836	15.9	1,389
Depreciation/amortisation	243	284	288	290	0.8	295
Working capital changes	(135)	(185)	159	32	(79.9)	(199)
Other items	(44)	(68)	(83)	(194)		(235)
Net operating cashflow	644	572	1,086	964	(11.2)	1,249
Capital expenditure	(418)	(71)	(44)	(268)		(100)
Free cashflow	226	501	1,042	696	(33.2)	1,149
M&A/Others	(52)	0	(3)	0		0
Net investing cashflow	(470)	(71)	(47)	(268)		(100)
Increase in loans	110	10	(300)	-		-
Dividends	(740)	(425)	(407)	(592)		(560)
Net equity raised/other	(2)	(3)	(4)	30		30
Net financing cashflow	(632)	(419)	(711)	(562)		(530)
Incr/(decr) in net cash	(458)	82	328	135	(59)	620
Exch rate movements	1	(9)	22	4	(80.7)	7
Balance sheet (NT\$m)						
Cash & equivalents	753	826	1,176	1,315	11.8	1,941
Accounts receivable	292	623	381	551	44.9	732
Other current assets	487	505	619	441	(28.7)	554
Fixed assets	2,712	2,490	2,262	2,258	(0.2)	2,068
Investments	58	19	15	23	48	23
Intangible assets	6	7	8	8	0	8
Other non-current assets	104	107	123	75	(38.9)	76
Total assets	4,412	4,578	4,583	4,671	1.9	5,401
Short-term debt	200	100	-	-		-
Accounts payable	176	397	337	368	9.2	461
Other current liabs	356	302	410	356	(13.1)	356
Long-term debt/CBs	590	700	500	500	0	500
Provisions/other LT liabs	7	9	7	88	1,173.9	150
Shareholder funds	3,083	3,107	3,334	3,364	0.9	3,938
Minorities/other equity	0	(38)	(4)	(4)		(4)
Total liabs & equity	4,412	4,578	4,583	4,671	1.9	5,401
Ratio analysis						
Revenue growth (% YoY)	(27.8)	3.5	20.3	10.6		32.8
Ebitda margin (%)	31.6	30.7	31.1	31.4		35.4
Ebit margin (%)	22.3	20.1	22.3	23.3		29.2
Net profit growth (%)	(36.3)	(17.3)	49.0	(7.4)		82.4
Op cashflow growth (% YoY)	(45.4)	(11.1)	89.8	(11.2)		29.6
Capex/sales (%)	16.0	2.6	1.3	7.5		2.1
Net debt/equity (%)	1.2	(0.8)	(20.3)	(24.3)		(36.6)
Net debt/Ebitda (x)	0.0	-	-	-		-
ROE (%)	17.1	14.5	20.8	18.6		31.1
ROIC (%)	16.3	14.8	20.8	26.2		43.4

Source: CLST

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Figure 1

Quarterly P&L												
(NT\$m)	1Q25	2Q25	3Q25CT	4Q25CT	1Q26CT	2Q26CT	3Q26CT	4Q26CT	2023	2024	2025CT	2026CT
Sales	794	714	968	1,109	977	1,124	1,318	1,339	2,694	3,241	3,584	4,758
Gross profit	317	246	372	443	386	473	560	571	1,109	1,279	1,377	1,989
Opex	138	123	140	140	150	150	150	150	567	558	541	600
Operating profit	179	122	232	303	236	323	410	421	542	721	836	1,389
Non-OP	18	(98)	0	0	0	0	0	0	(0)	96	(80)	0
Pretax profit	197	24	232	303	236	323	410	421	542	818	756	1,389
Net profit	157	36	186	242	188	281	328	337	450	671	622	1,134
EPS (NT\$)	0.85	0.20	1.00	1.31	1.02	1.52	1.78	1.82	2.43	3.63	3.36	6.13
Growth												
Sales QoQ	10%	(10%)	35%	15%	(12%)	15%	17%	2%				
Sales YoY	(5%)	(18%)	34%	40%	37%	16%	19%	37%	3%	20%	11%	33%
EPS QoQ	18%	(77%)	411%	31%	(22%)	49%	17%	3%				
EPS YoY	(18%)	(82%)	29%	83%	20%	673%	77%	39%	(17%)	49%	(7%)	82%
Margin												
Gross margin	39.9%	34.4%	38.5%	40.0%	39.4%	42.1%	42.5%	42.6%	41.2%	39.5%	38.4%	41.8%
Opex	17.3%	17.3%	14.5%	12.6%	15.3%	13.4%	11.4%	11.2%	21.0%	17.2%	15.1%	12.6%
OP margin	22.6%	17.1%	24.0%	27.3%	24.1%	28.7%	31.1%	31.4%	20.1%	22.3%	23.3%	29.2%
Non-OP	2.2%	(13.7%)	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	3.0%	(2.2%)	0.0%
Net margin	19.8%	5.1%	19.2%	21.9%	19.3%	25.0%	24.9%	25.1%	16.7%	20.7%	17.3%	23.8%

Source: CLST

Figure 2

Forecast revisions						
(NT\$m)	2025CT			2026CT		
	old	new	% ch	old	new	% ch
Revenue	3,546	3,584	1%	4,469	4,758	6%
Gross profit	1,407	1,377	(2%)	1,873	1,989	6%
Opex	558	541	(3%)	600	600	0%
Operating profit	849	836	(2%)	1,273	1,389	9%
Pretax profit	867	756	(13%)	1,273	1,389	9%
Tax expense	165	134	(18%)	234	255	9%
Net profit	702	622	(11%)	1,040	1,134	9%
EPS (NT\$)	3.80	3.36	(11%)	5.62	6.13	9%
Margin						
Gross margin	39.7%	38.4%		41.9%	41.8%	
Operating margin	24.0%	23.3%		28.5%	29.2%	
Tax rate	19.0%	17.8%		18.4%	18.4%	
Net margin	19.8%	17.3%		23.3%	23.8%	

Source: CLST

Figure 3

Sales mix assumptions				
Sales (NT\$m)	2023	2024	2025CT	2026CT
Micro-electronics	2,102	2,546	2,658	2,911
Optical	593	695	926	1,847
Total	2,694	3,241	3,584	4,758
YoY (%)	2023	2024	2025CT	2026CT
Micro-electronics	1%	21%	4%	10%
Optical	12%	17%	33%	99%
Total	3%	20%	11%	33%
Sales mix (%)	2023	2024	2025CT	2026CT
Micro-electronics	78%	79%	74%	61%
Optical	22%	21%	26%	39%
Total	100%	100%	100%	100%
Gross margin (%)	2023	2024	2025CT	2026CT
Micro-electronics	38%	36%	35%	35%
Optical	50%	50%	50%	50%
Total	41%	39%	38%	42%

Source: CLST

Figure 4

Target price change				
	Target PE (x)	Valuation period	EPS (NT\$)	Target Price (NT\$)
Old	27	2026CT	5.6	150
New	35	2026CT	6.1	215

Source: CLST

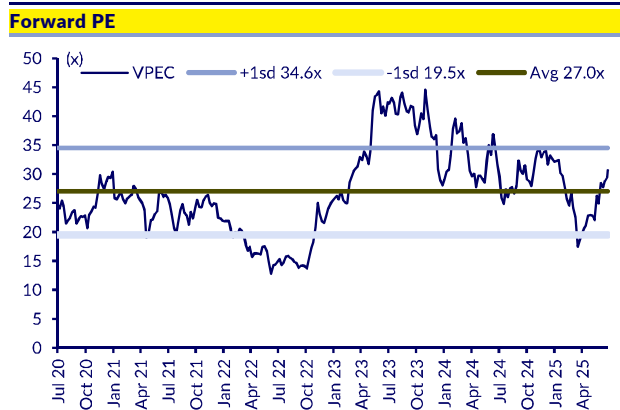
Figure 5



Source: CLST, TEJ

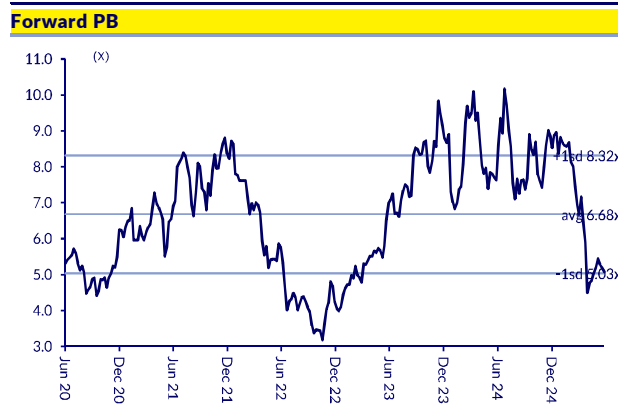
Foreign investors hold 31%

Figure 6



Source: CLST

Figure 7



Source: CLST

Investment thesis

VPEC's PA momentum has been tracking ahead of expectations due to resilient end-demand and market share gains, with rising China localisation remaining a favourable trend for the company. It is now also seeing robust 800G demand, and upcoming 1.6T spec upgrades and potential share gain at another major US optical chip IDM should support stronger earnings growth.

Catalysts

1) More datacentre optical project gains driven by AI; 2) better smartphone end-demand triggering a second leg up for PA orders; 3) more confirmed order gains in consumer optical.

Valuation details

We use PE as our valuation methodology as we believe the market will primarily focus on the earnings growth outlook, which is better reflected with PE metrics. The stock has traded between -1sd (20x) and +1sd (35x) for the past seven years (after the structural rerating since 2017 on optical and China localisation growth) based on each phase of the industry cycle. We assign an upcycle PE multiple of 35x on a stronger micro-electronics and optical outlook.

Investment risks

1) Slower-than-expected rollout of 1.6T PD products; 2) weaker-than-expected smartphone sell-through; 3) consumer optical projects further delayed into 2027.

Detailed financials

Profit & Loss (NT\$m)

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Revenue	2,645	3,609	2,604	2,694	3,241	3,584	4,758
Cogs (ex-D&A)	(1,245)	(1,816)	(1,271)	(1,301)	(1,674)	(1,916)	(2,474)
Gross Profit (ex-D&A)	1,400	1,792	1,332	1,393	1,567	1,668	2,284
Research & development costs	(299)	(282)	(358)	(427)	(389)	(391)	(432)
Selling & marketing expenses	(12)	(20)	(19)	(11)	(13)	(14)	(18)
Other SG&A	(116)	(162)	(132)	(128)	(156)	(137)	(150)
Other Op Expenses ex-D&A	-	-	-	-	-	-	-
Op Ebitda	973	1,329	823	826	1,009	1,127	1,684
Depreciation/amortisation	(285)	(272)	(243)	(284)	(288)	(290)	(295)
Op Ebit	688	1,057	580	542	721	836	1,389
Interest income	3	2	5	16	25	11	0
Interest expense	(7)	(7)	(7)	(13)	(11)	(4)	0
Net interest inc/(exp)	(4)	(5)	(2)	2	14	7	0
Associates/investments	0	0	0	0	0	0	0
Forex/other income	(37)	(3)	83	(4)	73	(88)	0
Asset sales/other cash items	-	-	-	-	-	-	-
Provisions/other non-cash items	1	5	6	1	10	0	0
Asset revaluation/Exceptional items	-	-	-	-	-	-	-
Profit before tax	647	1,053	667	542	818	756	1,389
Taxation	(115)	(198)	(123)	(91)	(147)	(134)	(255)
Profit after tax	533	855	545	450	671	622	1,134
Preference dividends	-	-	-	-	-	-	-
Profit for period	533	855	545	450	671	622	1,134
Minority interest	0	0	0	0	0	0	0
Net profit	533	855	545	450	671	622	1,134
Extraordinaries/others	0	0	0	0	0	0	0
Profit avail to ordinary shares	533	855	545	450	671	622	1,134
Dividends	(462)	(479)	(740)	(425)	(407)	(592)	(560)
Retained profit	70	376	(195)	25	264	30	575
Adjusted profit	533	855	545	450	671	622	1,134
EPS (NT\$)	2.9	4.6	2.9	2.4	3.6	3.4	6.1
Adj EPS [pre excep] (NT\$)	2.9	4.6	2.9	2.4	3.6	3.4	6.1
Core EPS (NT\$)	2.9	4.6	2.9	2.4	3.6	3.4	6.1
DPS (NT\$)	2.6	4.0	2.3	2.2	3.2	3.0	5.5

Profit & loss ratios

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Growth (%)							
Revenue growth (% YoY)	4.5	36.4	(27.8)	3.5	20.3	10.6	32.8
Ebitda growth (% YoY)	7.5	36.6	(38.0)	0.4	22.2	11.6	49.5
Ebit growth (% YoY)	5.9	53.7	(45.1)	(6.5)	33.0	15.9	66.2
Net profit growth (%)	3.6	60.6	(36.3)	(17.3)	49.0	(7.4)	82.4
EPS growth (% YoY)	3.2	60.6	(36.3)	(17.3)	49.0	(7.4)	82.4
Adj EPS growth (% YoY)	3.2	60.6	(36.3)	(17.3)	49.0	(7.4)	82.4
DPS growth (% YoY)	3.6	54.4	(42.5)	(4.3)	45.5	(5.4)	82.4
Core EPS growth (% YoY)	3.2	60.6	(36.3)	(17.3)	49.0	(7.4)	82.4
Margins (%)							
Gross margin (%)	52.9	49.7	51.2	51.7	48.4	46.5	48.0
Ebitda margin (%)	36.8	36.8	31.6	30.7	31.1	31.4	35.4
Ebit margin (%)	26.0	29.3	22.3	20.1	22.3	23.3	29.2
Net profit margin (%)	20.1	23.7	20.9	16.7	20.7	17.3	23.8
Core profit margin	20.1	23.7	20.9	16.7	20.7	17.3	23.8
Op cashflow margin	32.2	32.7	24.7	21.2	33.5	26.9	26.3
Returns (%)							
ROE (%)	18.6	27.7	17.1	14.5	20.8	18.6	31.1
ROA (%)	13.1	18.7	10.2	10.0	12.9	14.9	22.5
ROIC (%)	20.9	32.1	16.3	14.8	20.8	26.2	43.4
ROCE (%)	25.9	40.6	20.4	18.1	26.2	33.3	56.5
Other key ratios (%)							
Effective tax rate (%)	17.7	18.8	18.4	16.9	17.9	17.8	18.4
Ebitda/net int exp (x)	219.2	260.3	387.9	-	-	-	-
Exceptional or extraord. inc/PBT (%)	-	-	-	-	-	-	-
Dividend payout (%)	89.9	86.5	78.1	90.4	88.2	90.0	90.0

Source: CLST

Balance sheet (NT\$m)

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Cash & equivalents	1,066	1,210	753	826	1,176	1,315	1,941
Accounts receivable	467	586	292	623	381	551	732
Inventories	372	415	487	505	619	441	554
Other current assets	0	0	0	0	0	0	0
Current assets	1,905	2,211	1,532	1,953	2,175	2,308	3,227
Fixed assets	2,319	2,405	2,712	2,490	2,262	2,258	2,068
Investments	14	9	58	19	15	23	23
Goodwill	0	0	0	0	0	0	0
Other intangible assets	4	5	6	7	8	8	8
Other non-current assets	77	220	104	107	123	75	76
Total assets	4,319	4,851	4,412	4,578	4,583	4,671	5,401
Short term loans/OD	380	480	200	100	-	-	-
Accounts payable	317	372	176	397	337	368	461
Accrued expenses	-	-	-	-	-	-	-
Taxes payable	0	0	0	0	0	0	0
Other current liabs	319	520	356	302	410	356	356
Current liabilities	1,017	1,372	732	799	747	724	817
Long-term debt/leases/other	400	200	590	700	500	500	500
Convertible bonds	-	-	-	-	-	-	-
Provisions/other LT liabs	0	0	7	9	7	88	150
Total liabilities	1,417	1,573	1,329	1,508	1,254	1,311	1,467
Share capital	1,849	1,849	1,849	1,849	1,849	1,849	1,849
Retained earnings	534	857	576	546	727	695	1,156
Reserves/others	519	572	658	712	757	819	933
Shareholder funds	2,902	3,278	3,083	3,107	3,334	3,364	3,938
Minorities/other equity	0	0	0	(38)	(4)	(4)	(4)
Total equity	2,902	3,278	3,083	3,069	3,329	3,359	3,934
Total liabs & equity	4,319	4,851	4,412	4,578	4,583	4,671	5,401
Total debt	780	680	790	800	500	500	500
Net debt	(286)	(530)	37	(26)	(676)	(815)	(1,441)
Adjusted EV	26,840	26,352	26,950	27,098	26,471	26,310	25,683
BVPS (NT\$)	15.7	17.7	16.7	16.8	18.0	18.2	21.3

Balance sheet ratios

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Key ratios							
Current ratio (x)	1.9	1.6	2.1	2.4	2.9	3.2	3.9
Growth in total assets (% YoY)	(0.5)	12.3	(9.0)	3.8	0.1	1.9	15.6
Growth in capital employed (% YoY)	(7.7)	4.3	14.1	(2.6)	(13.8)	(2.4)	(2.1)
Net debt to operating cashflow (x)	-	-	0.1	-	-	-	-
Gross debt to operating cashflow (x)	0.9	0.6	1.2	1.4	0.5	0.5	0.4
Gross debt to Ebitda (x)	0.8	0.5	1.0	1.0	0.5	0.4	0.3
Net debt/Ebitda (x)	-	-	0.0	-	-	-	-
Gearing							
Net debt/equity (%)	(9.9)	(16.2)	1.2	(0.8)	(20.3)	(24.3)	(36.6)
Gross debt/equity (%)	26.9	20.7	25.6	26.1	15.0	14.9	12.7
Interest cover (x)	92.2	158.5	88.2	42.4	65.8	218.9	0.0
Debt cover (x)	1.1	1.7	0.8	0.7	2.2	1.9	2.5
Net cash per share (NT\$)	1.5	2.9	(0.2)	0.1	3.7	4.4	7.8
Working capital analysis							
Inventory days	83.8	68.8	108.7	114.1	104.5	87.7	65.6
Debtor days	67.7	53.2	61.5	62.0	56.5	47.5	49.2
Creditor days	74.0	60.3	66.1	66.0	68.3	58.3	54.7
Working capital/Sales (%)	7.6	3.0	9.5	15.9	7.8	7.5	9.8
Capital employed analysis							
Sales/Capital employed (%)	103.8	135.8	85.9	91.3	127.4	144.3	195.6
EV/Capital employed (%)	1,053.3	991.9	889.1	918.1	1,040.1	1,058.9	1,055.7
Working capital/Capital employed (%)	7.9	4.1	8.1	14.5	9.9	10.8	19.3
Fixed capital/Capital employed (%)	91.0	90.5	89.5	84.4	88.9	90.9	85.0
Other ratios (%)							
PB (x)	9.4	8.3	8.8	8.7	8.2	8.1	6.9
EV/Ebitda (x)	27.6	19.8	32.7	32.8	26.2	23.4	15.3
EV/OCF (x)	31.5	22.4	41.9	47.4	24.4	27.3	20.6
EV/FCF (x)	35.5	37.1	119.4	54.1	25.4	37.8	22.3
EV/Sales (x)	10.1	7.3	10.4	10.1	8.2	7.3	5.4
Capex/depreciation (%)	33.4	172.5	172.8	25.2	15.3	93.2	34.5

Source: CLST

Cashflow (NT\$m)

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Operating profit	688	1,057	580	542	721	836	1,389
Operating adjustments	(155)	(201)	(35)	(92)	(50)	(214)	(255)
Depreciation/amortisation	285	272	243	284	288	290	295
Working capital changes	4	70	(135)	(185)	159	32	(199)
Interest paid / other financial expenses	0	0	0	0	0	0	0
Tax paid	-	-	-	-	-	-	-
Other non-cash operating items	30	(18)	(9)	23	(33)	20	20
Net operating cashflow	851	1,179	644	572	1,086	964	1,249
Capital expenditure	(95)	(467)	(418)	(71)	(44)	(268)	(100)
Free cashflow	756	711	226	501	1,042	696	1,149
Acq/inv/disposals	-	-	(50)	-	-	-	-
Int, invt & associate div	(2)	(3)	(2)	0	(3)	-	-
Net investing cashflow	(97)	(470)	(470)	(71)	(47)	(268)	(100)
Increase in loans	(90)	(100)	110	10	(300)	-	-
Dividends	(462)	(479)	(740)	(425)	(407)	(592)	(560)
Net equity raised/others	(2)	(2)	(2)	(3)	(4)	30	30
Net financing cashflow	(554)	(581)	(632)	(419)	(711)	(562)	(530)
Incr/(decr) in net cash	200	128	(458)	82	328	135	620
Exch rate movements	(8)	16	1	(9)	22	4	7
Opening cash	875	1,066	1,210	753	826	1,176	1,315
Closing cash	1,066	1,210	753	826	1,176	1,315	1,941
OCF PS (NT\$)	4.6	6.4	3.5	3.1	5.9	5.2	6.8
FCF PS (NT\$)	4.1	3.8	1.2	2.7	5.6	3.8	6.2

Cashflow ratio analysis

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Growth (%)							
Op cashflow growth (% YoY)	22.4	38.5	(45.4)	(11.1)	89.8	(11.2)	29.6
FCF growth (% YoY)	50.7	(5.9)	(68.3)	122.1	108.0	(33.2)	65.0
Capex growth (%)	(50.8)	391.3	(10.6)	(83.0)	(38.5)	511.8	(62.6)
Other key ratios (%)							
Capex/sales (%)	3.6	13.0	16.0	2.6	1.3	7.5	2.1
Capex/op cashflow (%)	11.2	39.7	64.9	12.4	4.0	27.8	8.0
Operating cashflow payout ratio (%)	56.3	62.8	66.1	71.1	54.5	58.0	81.7
Cashflow payout ratio (%)	54.3	40.6	114.9	74.3	37.5	61.4	44.8
Free cashflow payout ratio (%)	61.1	67.3	327.8	84.9	39.0	85.0	48.7

DuPont analysis

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Ebit margin (%)	26.0	29.3	22.3	20.1	22.3	23.3	29.2
Asset turnover (x)	0.6	0.8	0.6	0.6	0.7	0.8	0.9
Interest burden (x)	0.9	1.0	1.2	1.0	1.1	0.9	1.0
Tax burden (x)	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Return on assets (%)	13.1	18.7	10.2	10.0	12.9	14.9	22.5
Leverage (x)	1.5	1.5	1.5	1.5	1.4	1.4	1.4
ROE (%)	18.6	27.7	17.1	14.5	20.8	18.6	31.1

EVA® analysis

Year to 31 December	2020A	2021A	2022A	2023A	2024A	2025CT	2026CT
Ebit adj for tax	566	858	473	451	592	688	1,134
Average invested capital	2,711	2,671	2,904	3,051	2,839	2,627	2,615
ROIC (%)	20.9	32.1	16.3	14.8	20.8	26.2	43.4
Cost of equity (%)	10.8	10.8	10.8	10.8	10.8	10.8	10.8
Cost of debt (adj for tax)	0.8	0.8	0.8	0.8	0.8	0.8	0.8
Weighted average cost of capital (%)	10.8	10.8	10.8	10.8	10.8	10.8	10.8
EVA/IC (%)	10.0	21.3	5.5	3.9	10.0	15.3	32.5
EVA (NT\$m)	272	569	159	120	284	403	851

Source: CLST



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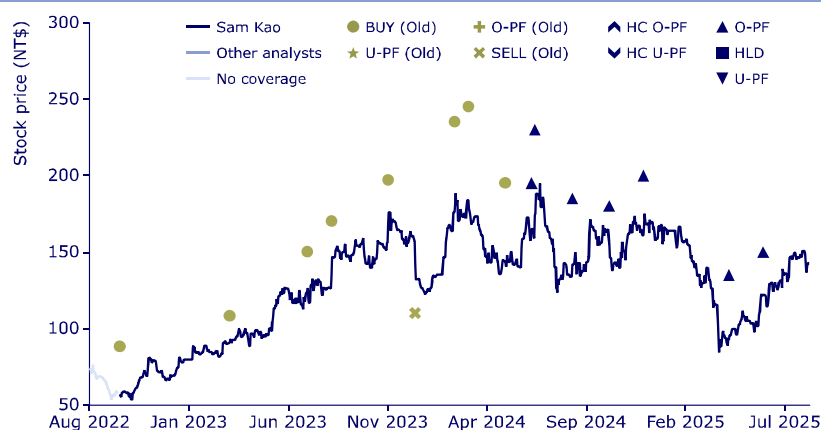
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Recommendation history of Visual Photonics Epitaxy Co 2455 TT



Date	Rec	Target	Date	Rec	Target
LATEST	O-PF	215.00	24 Mar 2024	BUY	245.00
15 Jun 2025	O-PF	150.00	03 Mar 2024	BUY	235.00
24 Apr 2025	O-PF	135.00	03 Jan 2024	SELL	110.00
15 Dec 2024	O-PF	200.00	23 Nov 2023	BUY	197.00
24 Oct 2024	O-PF	180.00	29 Aug 2023	BUY	170.00
29 Aug 2024	O-PF	185.00	23 Jul 2023	BUY	150.00
03 Jul 2024	O-PF	230.00	27 Mar 2023	BUY	108.00
28 Jun 2024	O-PF	195.00	11 Oct 2022	BUY	88.00
19 May 2024	BUY	195.00			

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA/CLST investment rankings below for details. Source: CLST

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